

IFRS Foundation

<https://www.ifrs.org/about-us/who-we-are/>

The IFRS Foundation sets standards used globally for financial reporting that improve the communication between companies and investors. They are an independent, not-for-profit organisation founded on the belief that better information from companies leads to better investment decisions. Their standards, called IFRS Accounting Standards, boost transparency, comparability and trust in financial reporting.

The IFRS Foundation has a three-tier governance structure that strengthens our ability to carry out our mission:

- Two independent standard-setting boards of experts—the International Accounting Standards Board (IASB) and the International Sustainability Standards Board (ISSB)—which are responsible for setting high-quality IFRS Standards through our robust and inclusive due process;
- Trustees from around the world who set our organisational strategy, govern our work and oversee our boards; and
- A monitoring board of public authorities which enhances our public accountability and oversees the work of our Trustees.

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Monitoring Board

The Monitoring Board was created in January 2009 with the aim of 'providing a formal link between the Trustees and public authorities' in order to enhance the public accountability of the IFRS Foundation.

The Monitoring Board's main responsibilities are to ensure that the Trustees continue to discharge their duties as defined by the IFRS Foundation Constitution, as well as approving the appointment or reappointment of Trustees. The Monitoring Board meets the Trustees at least once a year, or more often if appropriate

The Monitoring Board consists of capital markets authorities responsible for setting the form and content of financial reporting. Through the Monitoring Board, securities regulators that allow or require the use of IFRS in their jurisdictions will be able to more effectively carry out their mandates regarding investor protection, market integrity, and capital formation.

The members of the Monitoring Board are representatives from:

- the Board of the International Organization of Securities Commissions (IOSCO);
- the IOSCO Growth and Emerging Markets Committee;
- the Financial Services Agency of Japan (JFSA);
- the European Commission;
- the US Securities and Exchange Commission (SEC);
- the Comissão de Valores Mobiliários (CVM) of Brazil;
- the Financial Services Commission (FSC) of Korea;
- the Ministry of Finance of the People's Republic of China; and
- the Financial Conduct Authority (FCA) of the United Kingdom.

The Basel Committee on Banking Supervision is an observer.

Foundation Trustees

The 22 Trustees are appointed from varied countries and professional backgrounds, for a renewable three-year term. They are responsible for:

- overseeing our governance and organisational strategy;
- overseeing the due process;
- maintaining our Constitution and Due Process Handbook;
- appointing members to the International Accounting Standards Board, International Sustainability Standards Board, IFRS Interpretations Committee and various advisory bodies;
- and securing our funding.

Much of the Trustees' work is carried out via committees. The Trustees are not involved in any technical matters relating to IFRS Standards; this responsibility rests solely with the boards.

The Trustees are accountable to the Monitoring Board, a body of publicly accountable market authorities. Trustee appointments and reappointments are approved by the Monitoring Board.

The Trustees are responsible for the organisation's funding—they have a Funding Committee dedicated to overseeing the Foundation's funding activities. Its focus is on developing a medium- to long-term sustainable funding strategy for both contributed and earned revenue to support the work of both our standard-setting boards, the International Accounting Standards Board (IASB) and the International Sustainability Standards Board (ISSB).

Funding

<https://www.ifrs.org/content/dam/ifrs/about-us/funding/2024/ifrs-foundation-annual-report-2024.pdf>

We receive income from two main sources: contributed revenue and earned revenue. For the year ended 31 December 2024 total revenue was £67.6 million—comprising contributed revenue (61%) and earned revenue (39%).

Contributed revenue

Contributed revenue is made up of voluntary contributions from jurisdictions; seed funding for the ISSB from Canada, China, Germany and Japan; philanthropic grants; and contributions from companies. Most jurisdictions have established either a levy on companies or a system of publicly supported financing, although funding mechanisms vary.

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Deloitte, EY, KPMG and PwC have licensing agreements with the Foundation, for which annual fees are received in addition to their voluntary contributions.

Earned revenue

Most of our earned revenue comes from licensing our intellectual property; a licensing agreement allows companies and organisations to reproduce, translate or use our Standards commercially.

International Accounting Standards Board (IASB)

The IASB is an independent group of experts with an appropriate mix of recent practical experience in setting accounting standards, in preparing, auditing, or using financial reports, and in accounting education. Broad geographical diversity is also required. The IFRS Foundation Constitution outlines the full criteria for the composition of the IASB, and the geographical allocation can be seen on the individual profiles.

IASB members are responsible for the development and publication of IFRS Accounting Standards, including the IFRS for SMEs Accounting Standard. The IASB is also responsible for approving Interpretations of IFRS Accounting Standards as developed by the IFRS Interpretations Committee (formerly IFRIC).

Members are appointed by the Trustees of the IFRS Foundation through an open and rigorous process that includes advertising vacancies and consulting relevant organisations.

IFRS Accounting Standards

Since its creation in 2001, the IFRS Foundation has transformed the global landscape of financial information by introducing IFRS Accounting Standards developed by the International Accounting Standards Board (IASB). The Standards have in effect become the global language of financial statements—trusted by investors worldwide and required for use by more than 140 jurisdictions. We are continually developing and improving the Standards.

Interpretations Committee

The IFRS Interpretations Committee (Committee) works with the IASB in maintaining and supporting the consistent application of IFRS Accounting Standards. The Committee responds to questions about the application of the Accounting Standards and does other work at the request of the IASB.

The Committee comprises 14 voting members, appointed by the Trustees of the IFRS Foundation. The members provide the best available technical expertise and diversity of international business and market experience relating to the application of IFRS Accounting Standards.

International Sustainability Standards Board (ISSB)

The Trustees of the IFRS Foundation announced the formation of the International Sustainability Standards Board (ISSB) on 3 November 2021 at COP26 in Glasgow, following strong market demand for its establishment. The ISSB is developing—in the public interest—standards that will result in a high-quality, comprehensive global baseline of sustainability disclosures focused on the needs of investors and the financial markets.

The ISSB has international support with its work to develop sustainability disclosure standards backed by the G7, the G20, the International Organization of Securities Commissions (IOSCO), the Financial Stability Board, African Finance Ministers and Finance Ministers and Central Bank Governors from more than 40 jurisdictions.

The ISSB builds on the work of market-led investor-focused reporting initiatives, including the Climate Disclosure Standards Board (CDSB), the Task Force for Climate-related Financial Disclosures (TCFD), the Value

Reporting Foundation's Integrated Reporting Framework and industry-based SASB Standards, as well as the World Economic Forum's Stakeholder Capitalism Metrics.

IFRS Sustainability Disclosures

Responding to the need for consistent and comparable sustainability information to inform economic and investment decisions, in 2021 the IFRS Foundation created the International Sustainability Standards Board (ISSB) which operates alongside the IASB. The ISSB develops IFRS Sustainability Disclosure Standards, designed to deliver a truly global baseline of sustainability disclosures to inform capital markets. Over 1,000 companies have referenced the ISSB in their reports and 30 jurisdictions are making progress towards introducing ISSB Standards in their legal or regulatory frameworks.

IFRS Accounting Standards and IFRS Sustainability Disclosure Standards are developed using the same rigorous, inclusive, and transparent due process. The two boards ensure their work is connected and the Standards can be used effectively together, so that companies also connect their sustainability disclosures with the information in the financial statements. In working together, the IASB and ISSB build on integrated reporting and management commentary concepts.